

CENTRAL BOARD OF SECONDARY EDUCATION — PRACTICE EXAMINATION**CLASS IX • SOCIAL SCIENCE (SUBJECT CODE: 087) • ACADEMIC SESSION 2026-27****SET A — FOUNDATION & CORE CONCEPTS****CHAPTER 08: BUILDING BLOCKS IN ECONOMICS: THE PROBLEM OF CHOICE**

TIME ALLOWED: 45 MINUTES

MAXIMUM MARKS: 25 MARKS

SERIES: CBS-IX-SST-SET-A-08

Student's Name: _____

Roll No.: _____

Class & Section: Class IX - _____

Date of Exam: _____

Invigilator's Sign: _____

General Instructions (SET A - Foundation & Core Concepts):

1. The question paper comprises **25 Multiple Choice Questions** of **1 mark each**.
2. All questions are compulsory. There is no negative marking for incorrect answers.
3. Each question offers four options: **(A), (B), (C), and (D)**. Select the single best answer.
4. Darken the corresponding circle on the **OMR Sheet** completely using a blue/black ballpoint pen.

Q.1 What is the fundamental, universal economic reality that gives rise to the subject of Economics?

- (A) Human wants and needs are unlimited, but the resources to satisfy them are scarce
- (B) All resources on Earth are infinitely abundant and free
- (C) Money can be printed without any limit to eliminate poverty
- (D) No human being has any desire for food or shelter

Q.2 In economics, 'scarcity' refers to a situation where:

- (A) The demand for a resource exceeds its available supply at zero price
- (B) Goods are stored in warehouses during monsoons
- (C) Money becomes completely useless in a city
- (D) A person forgets their wallet at home

Q.3 The concept of 'Opportunity Cost' is defined in economics as:

- (A) The value of the next best alternative that is sacrificed when making a choice
- (B) The total cash spent on purchasing an item
- (C) The manufacturing cost of an industrial plant
- (D) The discount offered by a shopkeeper during a holiday sale

Q.4 If a farmer chooses to plant wheat on her one-acre plot instead of mustard, what represents the opportunity cost of producing wheat?

- (A) The profit and yield from mustard that she had to give up
- (B) The market price of wheat flour
- (C) The tractor fuel purchased for ploughing
- (D) The cost of buying chemical fertilisers

Q.5 What are the four primary Factors of Production essential for producing any good or service?

- (A) Land, Labour, Physical Capital, and Human Capital (Entrepreneurship)
- (B) Gold, Silver, Platinum, and Diamonds
- (C) Paper, Pens, Desks, and Chalk
- (D) Tax, Inflation, Interest, and Subsidies

Q.6 Which factor of production includes all natural resources provided by nature, such as soil, water, forests, and mineral deposits?

- (A) Land
- (B) Working Capital
- (C) Human Capital
- (D) Entrepreneurship

Q.7 Tools, machines, factory buildings, and computer servers that can be used repeatedly in production over many years are classified as:

- | | |
|--------------------|---------------------|
| (A) Fixed Capital | (B) Working Capital |
| (C) Consumer Goods | (D) Variable Inputs |

Q.8 Raw materials (like yarn for a weaver or clay for a potter) and money in hand used up during the production process are termed:

- | | |
|---------------------|--------------------|
| (A) Working Capital | (B) Fixed Capital |
| (C) Human Capital | (D) Infrastructure |

Q.9 The specialized knowledge, education, skills, and enterprise needed to organize land, labour, and physical capital to produce an output is called:

- | | |
|---------------------|---------------------|
| (A) Human Capital | (B) Fixed Capital |
| (C) Natural Capital | (D) Working Capital |

Q.10 What is the primary motive that drives private business owners and entrepreneurs to organize factors of production in a market economy?

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|--|---|
| (A) Earning a profit | (B) Performing voluntary community service only |
| (C) Paying maximum taxes to government | (D) Creating excess unsold stock |

Q.11 What are the three fundamental economic questions that every society must answer because of resource scarcity?

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|---|---|
| (A) What to produce? How to produce? For whom to produce? | (B) Where to sleep? When to eat? Why to study? |
| (C) How to build roads? Who should win cricket? Why to fly? | (D) When will rain fall? Who is the king? Which language is oldest? |

Q.12 The question 'How to produce?' primarily involves a choice between:

- | | |
|--|---|
| (A) Labour-intensive methods versus capital-intensive (mechanized) methods | (B) Producing goods on Monday versus producing them on Friday |
| (C) Selling goods to children versus selling them to adults | (D) Exporting to Europe versus exporting to Asia |

Q.13 The question 'For whom to produce?' is fundamentally concerned with:

- | | |
|---|---|
| (A) The equitable distribution of goods, services, and national income among members of society | (B) Designing advertising billboards for television |
| (C) Deciding whether to build steel mills or textile factories | (D) Choosing packaging color for products |

Q.14 In an economy where a government central planning committee decides what goods are produced, how they are made, and at what fixed prices they are sold, the system is a:

- | | |
|---|--------------------------------------|
| (A) Command (Centrally Planned / Socialist) Economy | (B) Free Market (Capitalist) Economy |
| (C) Traditional Barter Economy | (D) Anarchist Network |

Q.15 In a Pure Market Economy, how are the questions of production and resource allocation resolved?

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|--|--|
| (A) Through the decentralized price mechanism and market forces of demand and supply | (B) By royal religious decrees issued once a year |
| (C) By drawing lottery tickets in village squares | (D) Through strict central bureaucratic rationing orders |

Q.16 India's economic system, which combines public sector enterprises managed by the state with a large, competitive private sector, is classified as a:

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|---|----------------------------|
| (A) Mixed Economy | (B) Pure Communist Economy |
| (C) Pure Laissez-Faire Capitalist Economy | (D) Feudal Barter System |

Q.17 Why does investing in schooling, healthcare, and job training represent investment in 'Human Capital'?

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|---|---|
| (A) It enhances the productivity, technical capability, and income-earning potential of workers | (B) It forces workers to work without any wages |
| (C) It turns workers into physical robots | (D) It eliminates the need for farming |

Q.18 Which of the following is considered an economic activity?

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|--|--|
| (A) A doctor examining patients at her clinic for a consultation fee | (B) A person watching television for entertainment at home |
| (C) A child playing video games with friends | (D) A volunteer picking up litter in a private garden as a hobby |

Q.19 When a household prioritizes spending its limited monthly budget on essential groceries and rent rather than luxury holidays, it is illustrating:

- | | |
|---|--|
| (A) Rational economic choice under budget constraints | (B) Irrational and reckless financial behavior |
| (C) A total absence of opportunity cost | (D) The functioning of a monopoly market |

Q.20 What is the return or income earned by the owner of 'Land' as a factor of production?

- | | |
|--------------|------------|
| (A) Rent | (B) Wages |
| (C) Interest | (D) Profit |

Q.21 What is the return or income earned by 'Labour' for supplying physical and mental effort in production?

- | | |
|----------------------|---------------|
| (A) Wages / Salaries | (B) Rent |
| (C) Interest | (D) Dividends |

Q.22 The return earned by an entrepreneur for undertaking business risks, organizing production, and innovating is called:

- | | |
|------------|-------------|
| (A) Profit | (B) Wages |
| (C) Rent | (D) Royalty |

Q.23 Which economic sector directly extracts or utilizes natural resources from the Earth, such as agriculture, forestry, mining, and fishing?

- | | |
|---------------------|-----------------------|
| (A) Primary Sector | (B) Secondary Sector |
| (C) Tertiary Sector | (D) Quaternary Sector |

Q.24 Manufacturing cotton yarn into fabric or processing raw sugarcane into refined sugar belongs to which sector of the economy?

- | | |
|--------------------------------------|-----------------------|
| (A) Secondary Sector (Manufacturing) | (B) Primary Sector |
| (C) Tertiary Sector | (D) Quaternary Sector |

Q.25 Banking, insurance, transportation, communications, healthcare, and education belong to which sector of the economy?

(A) Tertiary Sector (Services)

(B) Primary Sector

(C) Secondary Sector

(D) Agricultural Sector

CBSE CANDIDATE OMR ANSWER RESPONSE GRID (SET A)

01	☐ A ☐ B ☐ C ☐ D	02	☐ A ☐ B ☐ C ☐ D	03	☐ A ☐ B ☐ C ☐ D	04	☐ A ☐ B ☐ C ☐ D	05	☐ A ☐ B ☐ C ☐ D
06	☐ A ☐ B ☐ C ☐ D	07	☐ A ☐ B ☐ C ☐ D	08	☐ A ☐ B ☐ C ☐ D	09	☐ A ☐ B ☐ C ☐ D	10	☐ A ☐ B ☐ C ☐ D
11	☐ A ☐ B ☐ C ☐ D	12	☐ A ☐ B ☐ C ☐ D	13	☐ A ☐ B ☐ C ☐ D	14	☐ A ☐ B ☐ C ☐ D	15	☐ A ☐ B ☐ C ☐ D
16	☐ A ☐ B ☐ C ☐ D	17	☐ A ☐ B ☐ C ☐ D	18	☐ A ☐ B ☐ C ☐ D	19	☐ A ☐ B ☐ C ☐ D	20	☐ A ☐ B ☐ C ☐ D
21	☐ A ☐ B ☐ C ☐ D	22	☐ A ☐ B ☐ C ☐ D	23	☐ A ☐ B ☐ C ☐ D	24	☐ A ☐ B ☐ C ☐ D	25	☐ A ☐ B ☐ C ☐ D

Total Questions Attempted: ____ / 25

Marks Obtained: ____ / 25

Evaluator's Signature: _____

OFFICIAL ANSWER KEY & STEP-BY-STEP EXPLANATIONS (SET A)

Q. No.	Correct	Curricular Reference & Conceptual Rationale
Q.1	(A)	Economics arises because resources (land, labour, capital) are limited (scarce) relative to unlimited human wants, forcing societies to make choices.
Q.2	(A)	Scarcity means that available productive resources are insufficient to produce all the goods and services people desire to consume.
Q.3	(A)	Opportunity cost is the foregone benefit of the next best alternative choice. Choosing to study an hour means giving up an hour of leisure.
Q.4	(A)	By choosing wheat, the farmer foregoes the harvest and earnings from mustard; that sacrificed value is the opportunity cost.
Q.5	(A)	The four fundamental factors of production are Land (natural resources), Labour (human effort), Capital (tools/machinery), and Human Capital (knowledge/enterprise).
Q.6	(A)	In economics, 'Land' encompasses all free gifts of nature: agricultural land, minerals, rivers, forests, and fossil fuels.
Q.7	(A)	Fixed capital includes durable physical assets (tractors, turbines, factory sheds) that survive multiple production cycles over years.
Q.8	(A)	Working capital consists of raw materials and immediate cash required to pay wages and day-to-day operating expenses in production.
Q.9	(A)	Human capital refers to the stock of skills, knowledge, health, and entrepreneurial capability embodied in the workforce.
Q.10	(A)	In market systems, entrepreneurs are motivated by the prospect of earning economic profit (revenue exceeding production costs).
Q.11	(A)	Every economic system must decide: (1) What goods to produce and in what quantities, (2) How to produce them (technology/mix), and (3) For whom to produce (distribution).
Q.12	(A)	'How to produce' addresses production technique: whether to employ more human labor (labour-intensive) or more machinery (capital-intensive).
Q.13	(A)	'For whom to produce' concerns how national output and income are shared among different citizens and social groups.
Q.14	(A)	In a command economy, the state owns productive assets and central planners make decisions on production, allocation, and prices.
Q.15	(A)	A market economy relies on price signals: prices rise when demand is high, prompting producers to allocate resources to profitable goods.
Q.16	(A)	India operates a mixed economy where both private enterprise and government coexist, with state regulation protecting public welfare.
Q.17	(A)	Education and health enhance human capabilities, enabling workers to innovate and generate higher economic productivity.
Q.18	(A)	Economic activities involve the production, distribution, or consumption of goods and services performed to earn a monetary livelihood.
Q.19	(A)	Households face budget constraints, requiring them to rank preferences rationally to fulfill basic needs before luxuries.

Q. No.	Correct	Curricular Reference & Conceptual Rationale
Q.20	(A)	The payment made for the use of land is Rent; for Labour it is Wages; for Capital it is Interest; and for Entrepreneurship it is Profit.
Q.21	(A)	Labour is remunerated through wages or salaries paid for services rendered in the production process.
Q.22	(A)	Profit is the residual reward earned by the entrepreneur after paying rent for land, wages to labour, and interest on capital.
Q.23	(A)	The Primary sector involves activities that directly harvest or extract raw materials from nature (farming, fishing, mining).
Q.24	(A)	The Secondary sector transforms raw materials produced by the primary sector into finished industrial goods through manufacturing.
Q.25	(A)	The Tertiary sector provides support services to the primary and secondary sectors, facilitating trade, finance, education, and health.